

Commercial Loan Application Narrative

Borrower: Cedar Ridge Hospitality Group Inc.

The applicant is Cedar Ridge Hospitality Group Inc., an operator of two limited-service hotels. Principals are Daniel Whitfield and Susan Reyes. The company operates in the regional hospitality industry.

Facility Request

Cedar Ridge is requesting a term loan of \$4,100,000 to refinance existing mortgage debt and fund deferred property improvements. The term of 15 years is appropriate for the useful life of the assets financed.

Character

FICO scores of 704 and 688 were reported for the principals. Daniel Whitfield has 12 years of relevant experience in hospitality operations. There are no liens, judgments, or unsatisfied claims against the principals. No bankruptcies appear on either record. Disclosure was adequate but required follow-up; the interim financial statements were provided on request rather than at application.

Capacity

Adjusted EBITDA for the trailing twelve months was \$610,000. Total annual debt service on the proposed facility is \$720,000. Revenue has been declining year over year as regional occupancy softened. Add-backs are aggressive and include substantial owner compensation normalisation that the bank has not been able to support with documentation.

Capital

The principals are injecting an equity contribution of \$840,000. Total project cost is \$4,940,000. The company reports adequate tangible net worth. Cedar Ridge holds 2 months of operating reserves.

Collateral

The two properties were appraised at \$5,200,000 in aggregate. The bank will hold a first lien on both properties. The appraisal was completed 9 months ago. Personal guarantees have been obtained from both principals. The collateral is single-purpose hospitality real estate and would be slower to liquidate.

Conditions

The regional hospitality sector shows a mixed outlook, with cyclical demand tied to seasonal travel. The largest single customer accounts for 8% of revenue. Use of proceeds is clearly stated in the application. Permits are in place and no material regulatory matters are outstanding.